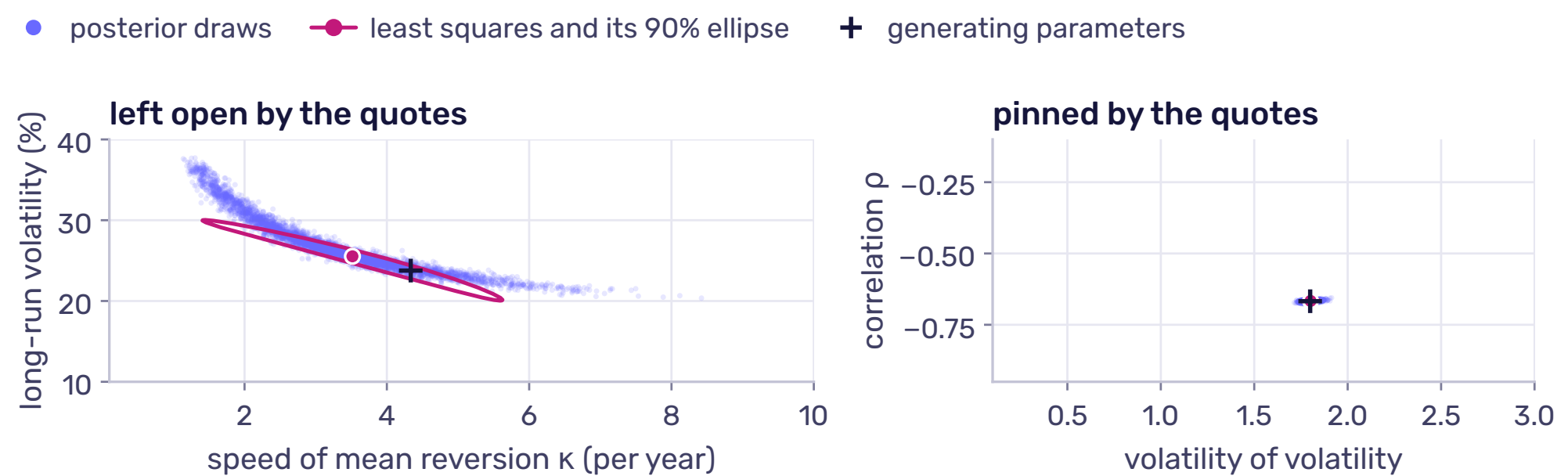

posterior draws
least squares and its 90% ellipse
generating parameters
left open by the quotes
long-run volatility (%)
40
30
20
10
2
4
6
8
10
speed of mean reversion κ (per year)
pinned by the quotes
correlation ρ
−0.25
−0.50
−0.75
0.5
1.0
1.5
2.0
2.5
3.0
volatility of volatility